

Cars24 Customers Financial Health Report

Background

Micro, Small, and Medium Enterprises (MSMEs) are a key driver of economic growth and employment. However, a significant proportion of MSMEs remain **New-to-Credit (NTC)** or **New-to-Bank (NTB)**, making it difficult for financial institutions to assess their creditworthiness using conventional underwriting practices.

Traditional MSME credit evaluation relies heavily on audited financial statements, income tax returns, collateral, and historical loan repayment records. Many emerging businesses either do not possess these documents or maintain them inconsistently, resulting in limited visibility into their financial health. Consequently, banks often reject potentially creditworthy businesses, leading to missed lending opportunities, lower financial inclusion, and a suboptimal lending portfolio.

At the same time, the Indian digital financial ecosystem now provides access to rich alternative data sources such as:

- GST transaction data
- UPI payment history
- Account Aggregator (AA) financial data
- EPFO payroll information
- Banking transactions
- Invoice and receivable data
- Utility and digital payment records
- Other consent-based digital financial datasets

The challenge is to intelligently combine these heterogeneous data sources into a unified, explainable, and scalable credit assessment framework.

Problem Statement

Design and develop an **Cars24 Customers Financial Health Report** that leverages alternative financial and business data to evaluate the financial health and creditworthiness of MSMEs, particularly those with limited or no traditional credit history.

The solution should create a comprehensive financial profile by aggregating multiple consent-based data sources, generating meaningful financial insights, identifying business strengths and risks, and producing an explainable Financial Health Score that can support faster and more inclusive lending decisions.

The proposed solution should demonstrate how AI and Machine Learning can improve underwriting accuracy, reduce dependency on conventional financial documents, and

enable near real-time credit assessment while ensuring transparency, scalability, and regulatory compliance.

Objectives

The proposed solution should:

- Build a unified MSME Financial Health Card using multiple alternate data sources.
 - Generate a multidimensional Financial Health Score instead of relying on a single credit metric.
 - Identify financial strengths, operational stability, repayment capacity, and potential business risks.
 - Provide explainable AI outputs to justify the generated score.
 - Enable near real-time credit evaluation for NTC and NTB businesses.
 - Support seamless integration with India's digital public infrastructure, including ULI, OCEN, and the Account Aggregator ecosystem.
 - Improve financial inclusion while maintaining portfolio quality and minimizing credit risk.
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Expected Deliverables

Participants should submit:

1. Solution Architecture

- End-to-end system architecture
- Data ingestion pipeline
- AI/ML workflow
- Integration approach
- Technology stack

2. Financial Health Card

Design a Financial Health Card containing:

- Overall Financial Health Score (0–100)
- Business Stability Score
- Cash Flow Score
- Revenue Consistency Score
- Payment Behaviour Score
- Business Growth Score
- Compliance Score

- Risk Indicators
 - Key Insights and Recommendations
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3. AI/ML Model

Develop a model capable of:

- Predicting MSME financial health
 - Estimating credit eligibility
 - Detecting anomalous financial behaviour
 - Generating explainable predictions (e.g., SHAP/LIME)
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4. Dashboard

Develop an intuitive dashboard that visualizes:

- Financial Health Score
 - Revenue trends
 - Cash flow analysis
 - GST performance
 - UPI transaction trends
 - Payroll consistency
 - Risk indicators
 - Credit recommendation
 - Explainability of the generated score
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5. API Design

Provide REST APIs for:

- Data ingestion
 - Score generation
 - Health Card retrieval
 - Credit recommendation
 - Dashboard integration
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6. Integration Strategy

Describe how the solution can integrate with:

- ULI
- OCEN
- Account Aggregator

- GSTN
 - Banking APIs
 - Other consent-based digital public infrastructure
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Evaluation Criteria

Criteria	Weightage
Problem Understanding	10%
Data Engineering & Feature Design	15%
AI/ML Model Quality	20%
Explainability & Interpretability	10%
Financial Health Card Design	15%
Dashboard & User Experience	10%
Scalability & System Architecture	10%
Innovation & Practicality	10%

Expected Outcome

The proposed solution should demonstrate an AI-enabled Financial Health Report capable of transforming alternative financial data into actionable credit intelligence. The system should enable banks and lending institutions to:

- Assess MSMEs with limited or no formal credit history.
- Reduce underwriting turnaround time through near real-time risk assessment.
- Increase approval rates for creditworthy NTC and NTB enterprises.
- Improve portfolio quality using data-driven credit decisions.
- Promote financial inclusion through consent-based digital public infrastructure.
- Deliver transparent, explainable, and scalable credit recommendations that can be integrated into existing lending ecosystems.

The emphasis should be on building an industry-ready, explainable, and scalable solution that leverages AI to bridge the credit gap for underserved MSMEs while maintaining prudent risk management.

Note : Share the GitHub link as well. A deployed link would be an added advantage.